Online Advertising Performance Analysis: Maximising Your ROI

A comprehensive guide to identifying wasted ad spend and optimising performance across modern advertising platforms.

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The Problem: The "Wasted Half" of Ad Spend

> "I know I'm wasting half of my ad budget. I just don't know which half."
> *- Mike Mathieu, 2010*

Still relevant today! Global ad spend in 2026 is projected to exceed **$448 billion**, with significant portions potentially lost due to inefficient targeting, poor creative, or misaligned strategies.

The complexity of modern ad platforms like Google's Performance Max (PMax) can lead to a "black box" effect, making it difficult to pinpoint where budget is being wasted.

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Dataset Overview & Key Metrics

A comprehensive analysis of online advertising campaign data, including impressions, clicks, conversions, spend, and revenue.

CTR (Click-Through Rate)

Measures ad relevance and engagement. **Avg. PMax CTR for E-commerce Fashion: 1.2%**

CPC (Cost Per Click)

Indicates the cost efficiency of driving traffic. **Avg. PMax CPC for E-commerce Fashion: $0.85**

Conversion Rate

The percentage of clicks that result in a desired action.

ROI (Return on Investment)

The ultimate measure of profitability. **Avg. PMax ROAS for E-commerce Fashion: 450%**

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Trend Analysis: Displays vs. Clicks

01

Visualisation

A line graph showing the trend of ad impressions (displays) and clicks over a defined period.

02

Observation

Identify periods of high impression volume with low click-through rates, indicating potential issues with ad creative, targeting, or placement.

03

Insight

A CTR below **0.5%** for e-commerce campaigns might signal fatigued image assets.

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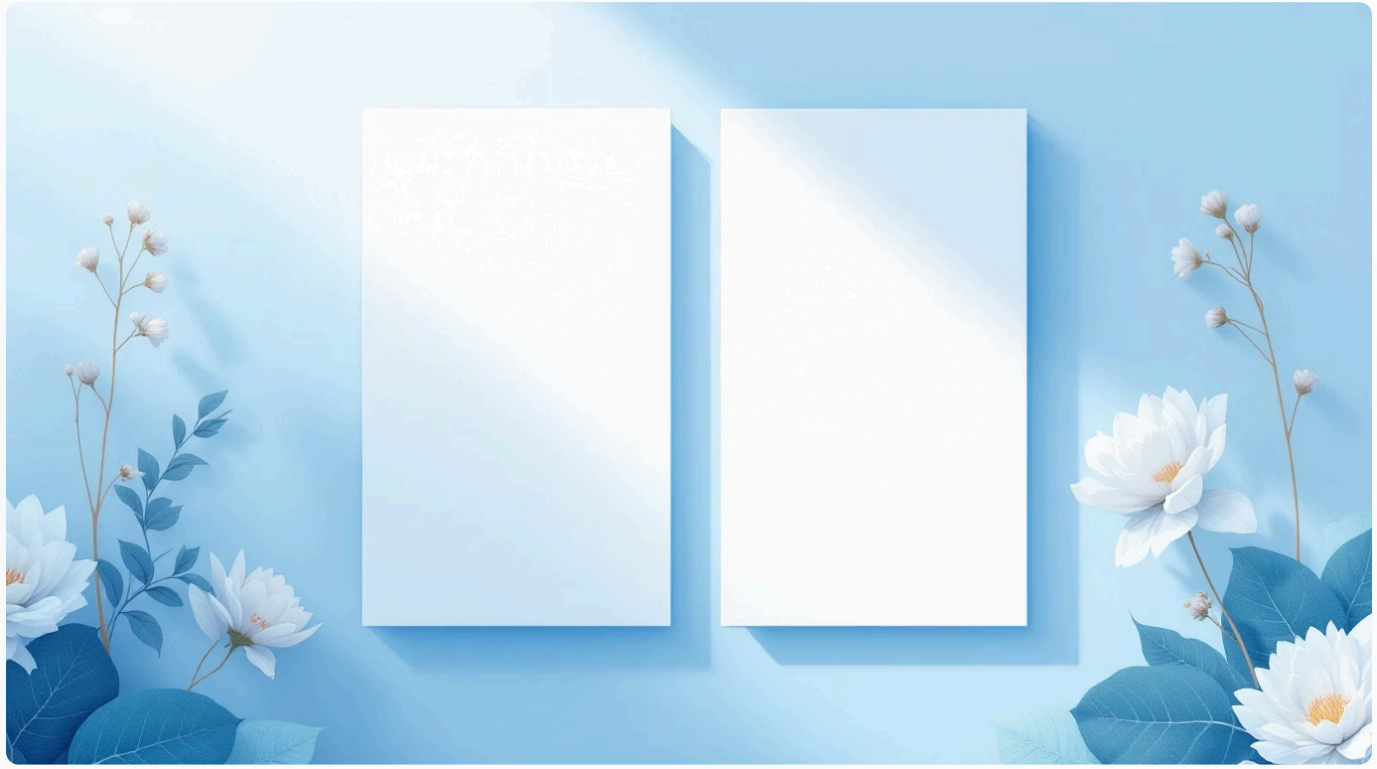
Banner Performance Comparison



Performance Breakdown

- **Banner A:** CTR 1.5%, Conversion Rate 3%
- **Banner B:** CTR 0.8%, Conversion Rate 1.5%
- **Banner C:** CTR 2.1%, Conversion Rate 2.5%

Key Insight: Clearly identify top-performing banners that resonate with the audience and drive conversions.

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Placement Conversion Rates

1

Identify Efficiency

A breakdown of conversion rates by ad placement (e.g., Search, Display, YouTube, Discover, Gmail, Maps for PMax).

2

Observe Patterns

Some placements might drive high impressions but low conversions, while others are highly efficient.

3

Optimise Budget

Allocate budget towards placements with higher conversion rates and ROI, while optimising underperforming ones.

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Cost vs. Revenue Relationship

Visualisation

A scatter plot showing Cost Per Click (CPC) against Revenue Per Visitor (RPV) or Cost Per Acquisition (CPA) against Revenue.

Insight

Identify campaigns or ad groups that are cost-effective in acquiring revenue and those that are draining the budget without sufficient returns.

A campaign with a high CPC but also a high RPV might still be profitable.

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ROI Comparison Between Campaigns

Campaign X

Performance Max

450% ROAS

Campaign Y

Search Focused

320% ROAS

Campaign Z

Display Network

280% ROAS

Understand which campaigns are delivering the best financial returns and where to focus future investment.

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Key Insights & Recommendations

Insight 1

Google Ads Performance Max (PMax) is a powerful engine, but requires strategic input. "Set it and forget it" is a myth.

Recommendation 1

Implement Brand Exclusion Lists at the campaign level to ensure PMax focuses on incremental growth, not just existing brand traffic.

Insight 2

Conversion tracking is crucial for AI-driven bidding. Inaccurate or incomplete data leads to massive revenue loss.

Recommendation 2

Utilise cross-account conversion tracking and conversion modelling to accurately measure user journeys across devices and platforms, enabling smarter bidding strategies like Target CPA and Target ROAS.

Insight 3

Asset Group reporting in PMax offers valuable insights.

Recommendation 3

Treat Asset Groups like ad groups: pause underperforming themes, scale winning creative clusters, and test messaging effectively.

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The Path Forward: Smarter Spend, Greater Gains

Actionable Steps

1. Regularly audit PPC accounts using tools and data analysis.
2. Continuously test and optimise ad creatives, targeting, and placements.
3. Leverage conversion modelling to improve Smart Bidding efficiency.
4. Focus on incremental growth by excluding non-incremental traffic sources.

Vision: By understanding and acting on performance data, we can move beyond the "wasted half" and achieve significantly higher ROAS and lower CAC in 2026 and beyond.

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